Experimental Machines — Founding Governance Design Draft v0.1

Sep 26, 2026 · @Alpha Romer Coma

How to read this draft

This is a design proposal for three founders to argue with, not a legal document. It translates what you have decided into a proposed institution, and shows what the Articles, By-Laws and policies should later say. Nothing here is filing-ready wording.

Labels used throughout

Label	Meaning
LEGAL REQUIREMENT	Required by a Philippine statute or rule, with the authority cited
CONSERVATIVE TAX POSITION	Chosen to protect Sec. 30(E) exemption or donee status where the law is unsettled; not strictly required by statute
CONSERVATIVE WORKING ASSUMPTION	A legal point treated as true for design purposes, though not fully settled
GOVERNANCE RECOMMENDATION	My proposal; you may reject it
FOUNDER DECISION	Something only you can choose
FUTURE POLICY	Belongs in a later internal policy, not the charter documents

Legal basis. Phase 1 memo and Phase 1.1 corrections. The key premises carried forward:

1. Non-stock, non-profit corporation; no dividends or surplus sharing (RCC Sec. 86).
2. Trustees are unpaid while serving (CONSERVATIVE TAX POSITION: RMO 38-2019 IV.A(1), VI.A.2(iii); NIRC Sec. 101(A)(2)).
3. The President must be a trustee (CONSERVATIVE WORKING ASSUMPTION: RCC Sec. 24 applied through Sec. 86; SEC Opinion 11-10).
4. Treasurer and Secretary may be non-trustees (RCC Sec. 24).

5. Trustees must be members (RCC Sec. 91).
6. Founders are conservatively treated as "organizers" under NIRC Sec. 30(E) and RMO 38-2019. No governance design removes that. Founder pay is a separate BIR question for later.
7. RCC Sec. 31 applies to contracts with trustees, officers, and their spouses or relatives within the fourth degree. Founder status alone does not trigger it.
8. Authorities marked UNVERIFIED in Phase 1.1 are not relied on here.

Statutory citations in this draft come from RA 11232 (Revised Corporation Code, "RCC") and RA 8424 (NIRC). Sections I have not re-read from a primary copy in this pass are marked "(verify)". Claude is not a lawyer; have counsel check the legal requirements before the Articles are drafted.

1. Founding facts and institutional philosophy

Experimental Machines is designed as an independent, non-profit machine-learning research institution with three founding members, three unpaid trustees, and three officers whose titles are legal functions, not scientific rank.

Founding facts (DECIDED)

Person	Corporate member	Trustee	Corporate office	Paid by the org
Arjhine A. Ty	Yes	Yes	Corporate Secretary	No
Alpha Romer Coma	Yes	Yes	President	No
John Andrew Balbarrossa	Yes	Yes	Treasurer	No

Checks against the law:

- **President is a trustee.** Satisfies RCC Sec. 24 ("a president, who must be a director") under the CONSERVATIVE WORKING ASSUMPTION that it applies to non-stock corporations.
- **No one is both President and Treasurer, or President and Secretary.** LEGAL REQUIREMENT, RCC Sec. 24.

- **Treasurer must be a Philippine resident; Secretary must be a Philippine citizen and resident.** LEGAL REQUIREMENT, RCC Sec. 24. FOUNDER DECISION to confirm: John is resident; Arjhine is a citizen and resident.
- **All trustees are members.** LEGAL REQUIREMENT, RCC Sec. 91.
- **All three are unpaid.** CONSERVATIVE TAX POSITION for trustees; a founder choice for the first year.

What Experimental Machines is for

Serious technical machine-learning research, and widening who can take part in it, especially researchers based in the Philippines. It is not a consultancy, automation agency, policy group, incubator, professional association, or awareness campaign.

Proposed purpose language (GOVERNANCE RECOMMENDATION, for Articles drafting)

The BIR's organizational test looks for a Sec. 30 purpose in the Articles. RMO 38-2019 defines "scientific" as "undertaking or assisting in pure or basic, applied and scientific research in the field of … industry, engineering … physical and natural sciences for the public interest." Machine learning is not named, so the clause should use those words and then name the field.

Primary purpose (plain-English sketch, not final wording):

> To undertake and assist pure, basic and applied scientific research in machine learning and related fields of computing, engineering, mathematics and the physical sciences, for the public interest, and to make the methods, data, code and results of that research openly available.

Secondary purposes, each "in furtherance of the primary purpose":

1. Publishing and disseminating research, including negative results.
2. Developing and releasing open-source research software, models, datasets and benchmarks.
3. Training researchers through fellowships, mentorship, workshops and scientific meetings.
4. Collaborating with universities, research institutes and other non-profit bodies.
5. Receiving grants, donations, compute and equipment, and administering funded research.

6. Acquiring and holding property needed for research.

Research areas (model training, post-training, optimization, inference, speculative decoding, quantization, distributed training, architectures, mixture-of-experts, evaluation, ML systems, hardware-aware and efficient ML, datasets, reproducibility, methodology, open models and infrastructure) belong in an illustrative "including but not limited to" list, or better, only in the Mission Statement. Listing them exhaustively in the Articles would force an amendment every time the research moves.

Wording to avoid in the Articles: "frontier" (undefined), "democratization" (vague), "benchmarking services" or "consulting" (reads as commercial), and "education" as a stand-alone purpose. Education is not a Sec. 30(E) purpose; Sec. 30(H) covers schools. Keep it as a means of the scientific purpose.

Name. This draft uses **Experimental Machines** as the corporate name. Whether "Experimental Intelligence" continues as a program or brand name is a FOUNDER DECISION (see Founder Review Required).

2. Researcher-first design: two layers

Two layers share the same people but answer different questions. The corporate layer answers "is this lawful, funded and safe for the institution?" The research layer answers "is this true, and how do we find out?" Neither layer outranks the other in its own domain (Section 6).

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flowchart LR
  subgraph Corporate["Corporate governance layer"]
    M["Members<br/>Arjhine, Alpha, John"] -->|elect| B["Board of
Trustees<br/>Arjhine, Alpha, John"]
    B -->|appoints and oversees| O["Officers<br/>President:
Alpha<br/>Treasurer: John<br/>Secretary: Arjhine"]
  end
  subgraph Research["Research layer"]
    R["Researchers"] <--> E["Research Engineers"]
    E <--> F["Fellows"]
    F <--> P["Project Leads"]
    P <--> C["Collaborators"]
  end
  B -.->|resources, budget, risk| Research
  Research -.->|evidence, conclusions, publication calls| B
```

The three founders sit in both layers. In the corporate layer they hold offices; in the research layer they are researchers like anyone else, and lead whichever projects they actually lead.

Rules that keep the layers separate

Rule	Label
Corporate titles (President, Treasurer, Corporate Secretary) are used only in filings, contracts, bank documents and official correspondence	GOVERNANCE RECOMMENDATION
Public-facing and research titles are research titles only: Researcher, Research Engineer, Research Fellow, Project Lead	GOVERNANCE RECOMMENDATION
"Project Lead" is per project and ends with the project; it is not a rank	GOVERNANCE RECOMMENDATION
No CEO, CTO, VP, Chief Scientist or Director titles unless a real operational need appears and the Board approves the role	GOVERNANCE RECOMMENDATION
Research roles are not corporate offices. Do not name them in the By-Laws	GOVERNANCE RECOMMENDATION. Under *Matling v. Coros* (G.R. 157802, 2010), only offices named in the Code or By-Laws are corporate offices; keeping research roles out keeps them ordinary positions
A corporate office confers no authority over scientific conclusions	GOVERNANCE RECOMMENDATION (Section 6)
Legal membership is separate from research participation. Researchers, fellows, contributors and collaborators are not members unless admitted under Section 7	GOVERNANCE RECOMMENDATION; RCC Sec. 88–90 let the Articles and By-Laws define membership

Research titles for the three founders are not assigned here. The public sites show "Founder" and "Co-Founder" only. What each founder is called on the research side is a FOUNDER DECISION.

3. Governance Decision Record

Eight decisions are DECIDED (six from your brief, two from your legal assumption set). Twenty-four are PROVISIONAL recommendations for you to accept, change or reject. Three are OPEN and three DEFERRED. Later sections give the detail; this table is the index.

Status key: **DECIDED** (you have decided) · **PROVISIONAL** (my recommendation, needs your review) · **OPEN** (needs a founder choice, no recommendation yet or several good options) · **DEFERRED** (not needed before incorporation).

ID	Title	Status	Proposed rule	Rationale and legal relevance	Consequences and risks	Affects
GDR-001	Founding Members	**DECIDED**	Arjhine A. Ty, Alpha Romer Coma, John Andrew Balbarrossa are the initial voting members	Members elect trustees and hold reserved powers (RCC Secs. 23, 88)	Three equal votes; any two form a majority or a 2/3 vote	Articles (incorporators, members); By-Laws
GDR-002	Initial Trustees	**DECIDED**	The same three serve as trustees	Trustees must be members (RCC Sec. 91)	Members and Board are the same people until the org grows; checks between them are weak for now (see Section 16)	Articles (initial trustees)
GDR-003	Initial Officers	**DECIDED**	President: Alpha. Treasurer: John. Corporate Secretary: Arjhine	President a trustee; no President-Treasurer or President-Secretary combination; residency and citizenship rules (RCC Sec. 24)	Titles are legal functions only (GDR-006)	Board organizational minutes; By-Laws (officer duties)
GDR-004	Initial Board Size	**DECIDED**	Three trustees	Number must be stated (RCC Sec. 91; Sec. 13 contents of Articles, verify)	Quorum is 2 (RCC Sec. 52). With one trustee recused, both others must agree	Articles

ID	Title	Status	Proposed rule	Rationale and legal relevance	Consequences and risks	Affects
GDR-005	Founders Initially Unpaid	**DECIDED**	No founder receives salary, honorarium or per diem for about the first year	Avoids trustee and organizer compensation risk while the org is being built (Phase 1.1)	Founders fund their own time; reimbursement of documented expenses is still allowed (Section 12)	Articles (trustee clause); Board minutes
GDR-006	Researcher-First Principle	**DECIDED**	Corporate offices are legal functions; research leadership follows the work and the project	Founder intent	Needs Section 6 to have teeth	Research Independence Charter; public materials
GDR-007	Legal form and tax target	**DECIDED**	Philippine non-stock, non-profit corporation, organized for scientific purposes under NIRC Sec. 30(E)	Your legal assumption set; RCC Secs. 86–87	No dividends; CTE applied for later (GDR-036)	Articles
GDR-008	Corporate name and program names	**OPEN**	Corporate name: Experimental Machines. Status of "Experimental Intelligence" to be decided	Domain, GitHub org, emails and HF org already use Experimental Machines	A program name needs no SEC filing; a second legal entity would	Articles; public sites
GDR-009	Primary purpose clause	PROVISIONAL	Scientific research purpose using RMO 38-2019's "scientific" wording, then naming machine learning (Section 1)	Organizational test (RMO 38-2019 Sec. III)	Too narrow forces amendments; too broad invites BIR doubt	Articles
GDR-010	No trustee compensation	**DECIDED** (legal assumption set)	Trustees receive no compensation or remuneration in any capacity while serving; documented expense reimbursement allowed	CONSERVATIVE TAX POSITION: RMO 38-2019 IV.A(1), VI.A.2(iii); NIRC Sec. 101(A)(2)	A trustee who wants paid work must first leave the Board (GDR-022)	Articles; By-Laws

ID	Title	Status	Proposed rule	Rationale and legal relevance	Consequences and risks	Affects
GDR-011	Member reserved powers and thresholds	PROVISIONAL	Section 4 table	Several thresholds are statutory minimums (RCC Secs. 15, 27, 39, 47)	Protects mission without unanimity	Articles; By-Laws
GDR-012	Mission-protection rule	PROVISIONAL	Purpose changes need 2/3 of all members at two meetings at least 60 days apart, and must keep a Sec. 30 scientific purpose	Legal floor is 2/3 (RCC Sec. 15)	Slows capture; one founder cannot block alone	By-Laws
GDR-013	Board powers	PROVISIONAL	Section 5	RCC Sec. 22: the Board exercises corporate powers "unless otherwise provided"	Board governs resources, not conclusions	By-Laws
GDR-014	Research independence	PROVISIONAL	Scientific authority rests with the researchers on the project; Board may intervene only on listed grounds (Section 6)	Founder intent; supports operational test and credibility	Needs a written charter and a review route	Research Independence Charter; one By-Law hook
GDR-015	Member admission	PROVISIONAL	Board nominates on written criteria; approval by 2/3 of all members	RCC Secs. 88–90 let By-Laws define membership	Selective; slow by design	By-Laws
GDR-016	Member removal	PROVISIONAL	Enumerated causes only; notice, hearing, independent reviewer finding; 2/3 of all members excluding the respondent	RCC Sec. 90	Protects against ordinary disagreement; not perfect with three members	By-Laws
GDR-017	Trustee terms	PROVISIONAL	Two-year staggered terms; re-election allowed; no term limits during the founding period	RCC Secs. 22, 91: up to three years	Continuity; annual renewal of one or two seats	By-Laws

ID	Title	Status	Proposed rule	Rationale and legal relevance	Consequences and risks	Affects
GDR-018	Board expansion path	PROVISIONAL	Expand to 5 once there are at least 5 members, by Articles amendment	Number fixed in Articles (conservative reading)	Requires an SEC-approved amendment	Articles; Board plan
GDR-019	Meetings, quorum, voting	PROVISIONAL	Statutory quorum; remote participation allowed; emergency meetings on 24 hours' notice	RCC Secs. 23, 49, 51, 52	Workable for three people in different places	By-Laws
GDR-020	Conflicts of interest	PROVISIONAL	Disclose, leave, not counted, for any related-party matter; extended by policy to member-only insiders and relatives	RCC Secs. 31, 52	More recusals than the law requires	By-Laws hook; Conflict-of-Interest Policy
GDR-021	Compensation framework	PROVISIONAL	Role-based bands, external benchmarks, nobody sets own pay; no pay tied to surplus	RCC Secs. 29, 86; RMO 38-2019 IV.A(2)	Applies first to non-founder staff	Compensation Policy
GDR-022	Founder paid work	**DEFERRED**	Allowed only after BIR ruling or tax advice, after leaving the Board, on the same role-based terms	Organizer issue (Phase 1.1)	No promise either way	Board resolution at the time
GDR-023	Separate future for-profit	PROVISIONAL	Separate entity; no ownership of nonprofit assets; fair, documented, conflict-reviewed dealings	RCC Secs. 31, 86, 93	Blocks asset capture	By-Laws hook; Related-Party Policy
GDR-024	IP framework	PROVISIONAL	Hybrid: background and independent IP stay with researchers; program IP belongs to EM, open by default	Contract law; avoids inurement through IP	Needs individual agreements	IP Policy; contributor agreements

ID	Title	Status	Proposed rule	Rationale and legal relevance	Consequences and risks	Affects
GDR-025	Existing Research Asset Register	PROVISIONAL (process); each asset **OPEN**	Asset-by-asset decision; no automatic transfer	Avoids unpaid-for or paid-for transfers that look like private benefit	Needs a founder meeting per major asset	Register; licence or assignment documents
GDR-026	Sponsored research and grants	PROVISIONAL	Ten safeguards (Section 11)	Operational test; *CIR v. St. Luke's* (2012) on for-profit income	Some sponsors will walk away	Sponsored Research Policy
GDR-027	Consulting boundary	PROVISIONAL	No consulting, managed services or paid deployments as an activity	NIRC Sec. 30, last paragraph; RMO 38-2019 Sec. III	Forgoes easy revenue	Sponsored Research Policy; Board
GDR-028	Financial principles	PROVISIONAL	Section 12	RCC Sec. 86; NIRC 30(E)	Light; expands later	Financial Controls Policy
GDR-029	Research integrity	PROVISIONAL	Writes down existing practice (Section 12)	Credibility; not a legal requirement	Low cost	Research Integrity Policy
GDR-030	Bank signatories and spending approvals	**OPEN**	Recommend two signatures above a threshold amount	Internal control; SEC AML guidance for non-profits (SEC MC 15-2018, verify)	Slower payments; less single-person risk	Financial Controls Policy
GDR-031	Deadlock handling	PROVISIONAL	Failed votes leave the status quo; mediation by an outside person for disputes that stall operations	Three-person board	Status quo bias	By-Laws; Board policy
GDR-032	Research Council (non-member researchers' voice)	PROVISIONAL	Create when there are researchers who are not members; advisory, not corporate	Keeps Board connected to research	Adds a body to run	Research Independence Charter
GDR-033	Membership classes	**DEFERRED**	One class of voting members for now	RCC Sec. 88 allows classes later	Simple	Articles, later
GDR-034	Principal office address	**OPEN**	Must be in the Philippines; avoid publishing a founder's home address where possible	RCC Sec. 13 (verify)	Address appears in public SEC records	Articles

ID	Title	Status	Proposed rule	Rationale and legal relevance	Consequences and risks	Affects
GDR-035	Fiscal year	PROVISIONAL	Calendar year	Simplest for BIR filings	None significant	By-Laws
GDR-036	CTE and PCNC timing	**DEFERRED**	Apply for a CTE once operating; PCNC later if donor deductions matter	RMO 38-2019 VI; RR 13-98	Gifts are not income anyway (NIRC Sec. 32(B)(3))	Tax filings
GDR-037	Public legal-status statements	PROVISIONAL	Say "non-profit" only after SEC registration; "tax-exempt" only after a CTE	Accuracy	Update the HF org label and site footers	Public sites
GDR-038	Corporate term	PROVISIONAL	Perpetual existence	RCC Sec. 11 default (verify)	None	Articles

4. Member powers

Members hold the powers that change what Experimental Machines is; the Board runs it. With three members, "2/3 of all members" means two of three, so thresholds alone cannot stop two founders acting together. The protections below therefore rely on process (notice, delay, reasons, an outside reviewer) as much as on vote counts.

"All members" means all voting members on the register, not only those present. Where the law sets a minimum, the By-Laws may require more but not less (CONSERVATIVE WORKING ASSUMPTION; counsel to confirm that higher member thresholds in the By-Laws are enforceable for each item).

Power	Legal floor	Recommended threshold	Label	Consequence
Elect trustees	Members elect (RCC Sec. 23)	Majority of votes cast, quorum present	LEGAL REQUIREMENT + GOVERNANCE RECOMMENDATION	Ordinary; each seat contested separately

Power	Legal floor	Recommended threshold	Label	Consequence
Remove a trustee	2/3 of members entitled to vote; with or without cause; removal without cause may not deprive a minority of representation (RCC Sec. 27)	2/3 of all members, at a meeting called for that purpose, with written reasons and a chance to respond	LEGAL REQUIREMENT + GOVERNANCE RECOMMENDATION	Two founders can remove the third as trustee; the process makes it visible and deliberate. Removal as member is separate (Section 7)
Amend the Articles	Majority of Board + 2/3 of members (RCC Sec. 15)	Same, plus 30 days' written notice of the proposed text	LEGAL REQUIREMENT + GOVERNANCE RECOMMENDATION	Also needs SEC approval
Amend the By-Laws	Majority of Board + majority of members; members may delegate to the Board by 2/3 (RCC Sec. 47)	Majority for ordinary sections; **2/3 of all members** for the entrenched sections: membership, removal, member powers, research independence hook, conflicts. **Do not delegate** amendment power to the Board	GOVERNANCE RECOMMENDATION	Keeps the Board from rewriting its own checks

Power	Legal floor	Recommended threshold	Label	Consequence
Change the scientific mission or primary purpose	Articles amendment, 2/3 (RCC Sec. 15)	**Mission-protection rule** below	GOVERNANCE RECOMMENDATION	Slower, not impossible
Merger or consolidation	Board approval + 2/3 of members (RCC merger provisions, verify)	2/3 of all members, and only with a non-stock, non-profit entity with a similar scientific purpose	LEGAL REQUIREMENT + CONSERVATIVE TAX POSITION	Assets stay dedicated to a similar purpose (RMO 38-2019 IV.A(6))
Dissolution	Board majority + members; threshold depends on whether creditors are affected (RCC Secs. 134–135, verify)	2/3 of all members	GOVERNANCE RECOMMENDATION	Higher than the minimum where the minimum is a majority
Plan of distribution on dissolution	2/3 of voting members present (RCC Sec. 94); assets to similar entities (Sec. 93)	Same; recipients must be non-profit with a similar purpose, or the government	LEGAL REQUIREMENT + CONSERVATIVE TAX POSITION	Required for the CTE (RMO 38-2019 IV, VI.A.2(iv))
Sell or dispose of all or substantially all assets	Board + 2/3 of members (RCC Sec. 39)	Same	LEGAL REQUIREMENT	Covers wholesale transfer of IP or compute

Power	Legal floor	Recommended threshold	Label	Consequence
Change membership structure or create classes	Articles or By-Law amendment	2/3 of all members	GOVERNANCE RECOMMENDATION	Stops dilution of existing votes by the Board
Trustee compensation	Majority of members may grant it (RCC Sec. 29)	**Not available**: the Articles will state trustees receive no compensation; changing that needs an Articles amendment and would put the CTE at risk	CONSERVATIVE TAX POSITION	Closes the route entirely while the clause stands
Admit new members	None in statute	Board nomination + 2/3 of all members (Section 7)	GOVERNANCE RECOMMENDATION	Selective
Major restructuring (affiliating with, licensing a program's whole IP portfolio to, or creating any entity)	Depends on transaction	2/3 of all members, after conflict review	GOVERNANCE RECOMMENDATION	Key protection against capture by a founder-linked company (Section 9)

Unanimity is recommended nowhere. It would give any one founder a veto over the institution's future, and a single departure or illness could freeze it.

Mission-protection rule (GOVERNANCE RECOMMENDATION)

A change to the primary purpose, or to the research-independence section of the By-Laws, requires all of the following:

1. A written proposal stating the new text and the reasons, circulated to all members at least 30 days before the first vote.
2. Approval by 2/3 of all members at two meetings held at least 60 days apart.
3. The new purpose must remain a scientific purpose within NIRC Sec. 30(E), non-stock and non-profit, with the dissolution clause unchanged.

What this does: it gives the third founder, and anyone else, two months and a public record to argue. It does not let one person block a change forever.

Alternative (FOUNDER DECISION): require unanimity for purpose changes only while there are fewer than five members. Safer for the mission, but creates a one-person veto during the founding years.

5. Board powers

The Board governs money, people, contracts, compliance and institutional risk. It does not govern scientific conclusions. By law the Board "shall exercise the corporate powers, conduct all business, and control all properties of the corporation" unless the Code provides otherwise (RCC Sec. 22). Everything in the first table is therefore the Board's by default; the second table is the proposed self-limit.

What the Board decides

Area	Board power	Notes
Budget	Adopt the annual budget; approve material changes	GOVERNANCE RECOMMENDATION: "material" defined in the Financial Controls Policy
Banking and financial controls	Open accounts; set signatories and approval limits; appoint an external auditor when required	Treasurer operates within these (GDR-030)

Area	Board power	Notes
Major expenditures, equipment, compute	Approve items above a threshold set by policy, and any multi-month compute commitment	Threshold is a FOUNDER DECISION
Grants, donations, sponsorships	Accept or decline; approve terms under the Sponsored Research Policy	Board checks the terms, not the expected results
Employment and compensation	Approve roles, salary bands and the compensation framework; approve any insider hire or pay change with the interested person recused	RCC Secs. 29, 31, 52
Contracts, leases, partnerships	Approve institutional agreements, MOUs, data and compute agreements	Project Leads may negotiate; Board signs off above policy limits
Officers	Elect and remove officers, unless the By-Laws let members elect them directly (RCC Sec. 91)	Recommend Board election: simpler for three people
Conflicts of interest	Administer the policy; keep the disclosure register	RCC Sec. 52 recusal
Compliance	SEC, BIR, labor, data-privacy and NPO filings	Treasurer and Secretary do the filing; Board is accountable
Asset protection	Insurance, security, access control for compute and data	
Governance policies	Adopt and amend internal policies, except where By-Laws reserve them to members	
Research programs	Create, fund, pause or close major institutional programs as a **resource** decision	Closing a program cannot be used to suppress a result (Section 6)

What the Board does not decide (GOVERNANCE RECOMMENDATION)

The Board may not	Why
Change, soften or withhold a research result, conclusion or benchmark number because a trustee, founder, sponsor or partner dislikes it	Scientific authority rests with the researchers (Section 6)
Order a negative result left unpublished because it reflects badly on the organization	Integrity; your "results and retractions" practice
Assign authorship or remove an author	Authorship follows contribution (Section 10D)
Override a correction, erratum or retraction the researchers have issued, except on the review route in Section 6	Same
Use a corporate title to settle a scientific dispute	GDR-006

Where it lives. The Board's general powers are statutory and need only a short By-Law. The limits above go in one short By-Law clause pointing to the Research Independence Charter, and the detail goes in the Charter (Section 6).

6. Research autonomy framework

Corporate authority governs resources and institutional risk. Scientific authority governs scientific conclusions. This is a GOVERNANCE RECOMMENDATION; no Philippine statute requires it. It matters legally in one indirect way: an institution that visibly lets sponsors or insiders shape results looks less like a public-interest scientific body under Sec. 30(E).

Who holds scientific authority

The researchers doing a project, led by its Project Lead, decide:

- research questions and hypotheses;
- experiment design, model choices, training methodology;

- benchmark design, evaluation methods, statistical analysis;
- technical implementation;
- interpretation of evidence;
- paper contents and publication recommendations;
- corrections, errata, retractions, and publication of negative findings.

Scientific disagreements inside a project are settled by evidence and discussion among the researchers. If they cannot agree, the dissenting view may be recorded in the paper or report, or the dissenter may decline authorship. No corporate officer breaks the tie.

When the Board may intervene

Only on these grounds, and only as far as the ground requires:

Ground	Example	What the Board may do
Law	Data Privacy Act issue; export control; court order	Delay or modify release to comply
Privacy	Personal data in a dataset	Require removal or anonymization
Security	Release would expose credentials or a live vulnerability	Delay for responsible disclosure
Safety	Credible risk of serious harm from a released model or method	Delay, stage, or restrict release; record reasons
Research misconduct	Fabrication, falsification, plagiarism	Pause pending the Research Integrity process
Contract	Sponsor confidentiality or patent-filing window already agreed	Enforce the agreed delay, no more
Budget	Funds or compute exhausted	Stop spending; cannot rewrite results
IP constraints	Third-party license terms	Require compliance before release
Material institutional risk	Legal liability or CTE risk	Delay and seek advice; record reasons

Every intervention is written, gives reasons, names the ground, and is time-limited. Researchers may ask the full Board to reconsider, and once there are researchers who are not trustees, the Research Council (GDR-032) gives a written view first.

Explicitly prohibited

1. Altering a result because a founder dislikes it.
2. Altering a result because a trustee or officer dislikes it.
3. Altering or suppressing a result because a sponsor, partner or donor dislikes it.
4. Suppressing a negative result because it makes Experimental Machines look bad.
5. Using a budget or program-closure decision as a disguised way to do any of the above.

Where each piece lives

Content	Document	Why
One sentence: scientific research is conducted and published openly for the public interest	**Articles** (inside the purpose clause)	Supports the organizational test; hard to change
Short clause: Board powers exclude altering research conclusions; intervention only on grounds listed in the Research Independence Charter; this clause is entrenched	**By-Laws**	Gives the rule legal force without overloading the By-Laws
Grounds, procedure, reconsideration route, prohibitions, Research Council	**Research Independence Charter** (Board-adopted, member-approved to amend)	Detail that will evolve
Pre-registration, provenance, errata, retractions, misconduct process	**Research Integrity Policy**	Practice, not constitution

7. Membership: admission and removal

Membership is a legal governance status that must be granted on purpose; it never follows automatically from doing research here. The law leaves the rules to you: membership and its rights are defined by the Articles and By-Laws (RCC Secs. 88–90), membership is personal and non-transferable unless they say otherwise (Sec. 89), and it ends "in the manner and for the causes provided in the articles of incorporation or the bylaws" (Sec. 90). The Corporate Secretary must keep a current list of members (Sec. 92).

Who is not a member (GOVERNANCE RECOMMENDATION)

Researchers, research engineers, employees, fellows, contributors, collaborators, open-source contributors, event participants, donors and sponsors are **not** members unless formally admitted. Contributor, fellowship and employment agreements should say so in one sentence.

Admission (GOVERNANCE RECOMMENDATION)

Eligibility, at least one of:

- sustained research contribution over roughly 12 months or more;
- sustained research-engineering contribution;
- scientific leadership of an Experimental Machines program;
- long-term institutional service;
- governance contribution.

Also required: written acceptance of the Articles, By-Laws, Research Independence Charter and Conflict-of-Interest Policy; disclosure of interests; and no disqualification under RCC Sec. 26 if the person may later serve as trustee.

Process:

1. Any member proposes a candidate in writing, with reasons tied to the criteria.
2. The Board reviews and nominates (majority of the Board).
3. Members approve by **2/3 of all members**.
4. The Secretary enters the new member on the register; membership starts on the date of entry.

Consequence: with three members, admission needs two of three. That is selective without letting one founder block every newcomer.

Ending membership

Route	Proposed rule	Label
Voluntary resignation	Written notice to the Secretary; effective on receipt or a stated later date. A trustee who stops being a member stops being a trustee (RCC Sec. 22)	LEGAL REQUIREMENT (trustee consequence) + GOVERNANCE RECOMMENDATION
Death	Membership ends on death; not transferable to heirs (Sec. 89)	LEGAL REQUIREMENT unless the By-Laws say otherwise
Incapacity	Suspension of voting rights while a court-declared or medically certified incapacity lasts; ends automatically after 12 months unless members decide otherwise	GOVERNANCE RECOMMENDATION
Sustained abandonment	No participation in member meetings or institutional work for 12 months, after two written reminders at least 60 days apart	GOVERNANCE RECOMMENDATION
Removal for cause	Only for the causes below, through the due-process steps below	GOVERNANCE RECOMMENDATION

Causes for removal:

1. serious misconduct toward the organization or its people;
2. misuse or misappropriation of assets;
3. breach of fiduciary duties as a trustee or officer (RCC Secs. 30–31, 33);
4. a finding of serious research misconduct under the Research Integrity Policy;
5. conviction or disqualification that would bar service under RCC Sec. 26.

Not a cause: scientific disagreement, disagreement about research direction, voting against the majority, publishing a result others dislike, or criticizing the organization in good faith.

Due process for removal

1. Written notice stating the specific cause and the facts relied on.
2. At least 30 days to respond in writing and at a hearing.
3. **A written finding by an independent reviewer** that the cause is established. The reviewer is not a member, not paid by Experimental Machines, and is agreed by all members in advance (a standing name, e.g. a lawyer or senior academic), or, failing agreement, chosen from a short pre-approved list.
4. Vote of **2/3 of all members, not counting the respondent**. With three members, that means both of the other two.
5. Written decision with reasons, kept in the minute book.

Why the independent reviewer: with three members, any two can outvote the third on anything. The reviewer is the only mechanism that stops two founders removing the third for a non-cause reason. It is not perfect: the other two still decide, but only after an outsider has found the cause proven.

8. Trustee structure

A three-seat board with two-year staggered terms, statutory quorum, remote meetings allowed, and a clear path to five seats. Nothing here needs more than three people to run.

Topic	Proposed rule	Label and authority
Number	3	DECIDED (GDR-004); stated in the Articles
Eligibility	Any member not disqualified under RCC Sec. 26; researchers are eligible; no trustee is paid by the org while serving	LEGAL REQUIREMENT (Secs. 26, 91) + CONSERVATIVE TAX POSITION

Topic	Proposed rule	Label and authority
Term	Two years; staggered so one or two seats come up each year. Initial trustees serve until the first annual members' meeting, where seats are assigned 1-year and 2-year terms by agreement or lot	GOVERNANCE RECOMMENDATION within the 3-year cap (RCC Secs. 22, 91)
Re-election	Allowed, no limit during the founding period; revisit term limits when the Board reaches five	GOVERNANCE RECOMMENDATION
Resignation	Written notice to the Secretary; effective on receipt or later stated date	GOVERNANCE RECOMMENDATION
Removal	By members, 2/3 of all members (RCC Sec. 27), with reasons and a chance to respond (Section 4)	LEGAL REQUIREMENT + GOVERNANCE RECOMMENDATION
Vacancies	Remaining trustees may fill a vacancy if they still form a quorum, for the unexpired term only. Vacancies from removal, term expiry or an increase in seats are filled by members (RCC Secs. 28, 91; verify details)	LEGAL REQUIREMENT
Quorum	Majority of the number of trustees in the Articles: 2 of 3 (RCC Sec. 52)	LEGAL REQUIREMENT
Voting	Majority of trustees present at a quorate meeting; election of officers needs a majority of **all** trustees (RCC Sec. 52; verify)	LEGAL REQUIREMENT
Proxies	Not allowed at Board meetings	LEGAL REQUIREMENT (RCC Sec. 52)

Topic	Proposed rule	Label and authority
Remote meetings	Video or teleconference participation counts toward quorum and voting; minutes record who joined remotely	Allowed by RCC Sec. 52; GOVERNANCE RECOMMENDATION to put it in the By-Laws
Regular meetings	Quarterly (the Code defaults to monthly unless the By-Laws say otherwise, RCC Sec. 52)	GOVERNANCE RECOMMENDATION
Special and emergency meetings	Any trustee or the President may call; 3 days' notice, or 24 hours for an emergency stated in the notice; any trustee may waive notice	GOVERNANCE RECOMMENDATION
Written resolutions	Unanimous written consent without a meeting, if counsel confirms SEC acceptance	CONSERVATIVE WORKING ASSUMPTION: confirm with counsel
Conflict recusal	Any trustee with a potential interest in a related-party matter discloses and recuses from the vote (RCC Sec. 52); for contracts with that trustee, presence must not be needed for quorum and vote must not be needed for approval (Sec. 31). By policy, the trustee also leaves the discussion	LEGAL REQUIREMENT + GOVERNANCE RECOMMENDATION
Deadlock	A failed motion leaves the status quo. If the Board cannot act on an operationally necessary matter for 60 days, any trustee may request non-binding mediation by the independent reviewer (Section 7)	GOVERNANCE RECOMMENDATION

How the three-person board handles a conflict

With one trustee recused, two remain: exactly a quorum. Both must vote yes. If they disagree, the matter fails. For an insider contract, failing is the safe outcome. If both of the others are also conflicted (for example, a transaction with a company all three founders own), the Board cannot approve it and it goes to members for 2/3 ratification with full disclosure and a fair-and-reasonable showing (RCC Sec. 31). GOVERNANCE RECOMMENDATION: treat such transactions as presumptively not to be done until the Board has at least two trustees with no interest in them.

Growing the Board without rewriting everything

- CONSERVATIVE WORKING ASSUMPTION: the number of trustees is stated in the Articles, so changing it needs an Articles amendment (majority of Board + 2/3 of members, SEC approval; RCC Sec. 15).
- GOVERNANCE RECOMMENDATION: write the By-Laws so that all Board rules work for any odd number from 3 to 7 (quorum, staggering in two cohorts, recusal). Growth then needs only the one Articles change.
- Trigger to expand to five: at least five members, or the first paid staff member. The two new seats go to unpaid members, ideally researchers, keeping the Board research-connected rather than managerial.

9. Founder transition, future paid work, and a future for-profit company

Founders serve unpaid for about a year. Paid work later is neither promised nor forbidden; it is a separate legal and tax decision made when it arises.

Founder Transition Principle (GDR-022, DEFERRED)

If a founder later wants to become a paid researcher of Experimental Machines, all of the following must happen, in this order:

1. **The role exists on its own merits.** The Board approves a research position, description and salary band that it would fund for any qualified researcher, within a real budget line (for example, a grant that funds the position).
2. **Tax review first.** Because founders are conservatively treated as organizers, and RMO 38-2019 IV.A(1) lists pay to "organizers" as inurement, the organization obtains a BIR ruling or written tax advice on the specific arrangement before any pay starts. FUTURE

LEGAL/TAX DECISION.

3. **Leave the Board first.** The founder resigns as trustee (and so as President, if applicable) before the employment starts, to remove the trustee-specific risks. CONSERVATIVE TAX POSITION. The founder may stay a member.
4. **Disclose and recuse.** The founder discloses the interest; approval is by trustees with no interest in it. Where the founder is still a trustee or officer at the time of approval, RCC Sec. 31 applies. Where the founder is a member only, Sec. 31 does not apply by its terms, but the same recusal applies by policy.
5. **Same terms as anyone else.** Same band, same benchmarking, same review cycle. No founder premium, no back pay for founding work, no pay tied to surplus.
6. **CTE disclosure.** If the organization already holds a CTE, the change is disclosed to the BIR, since a material change in method of operation can revoke the CTE from that date (RMO 38-2019 Sec. VII).

What this principle does not do: it does not remove the organizer issue. Phase 1.1 found no structure that does. It makes any future founder pay honest, documented, and as defensible as the law allows.

Separate Future Company Principle (GDR-023, PROVISIONAL)

If the founders later create a Philippine stock corporation for commercial work:

1. **Separate entities.** Experimental Machines is not converted, merged into, or made a subsidiary of the company. The company is incorporated separately.
2. **No ownership of nonprofit assets.** Being a founder of both gives no right to Experimental Machines' money, compute, data, models, code or other IP. Nonprofit assets stay dedicated to the scientific purpose, including on dissolution (RCC Secs. 86, 93; RMO 38-2019 IV.A(6)).
3. **Every dealing is a related-party transaction.** Any contract, license, service, data or compute sharing between the two goes through conflict review: written terms, fair market value, approval by trustees with no interest in the company. If no such trustees exist, the transaction waits (Section 8).
4. **IP needs separate approval.** Licensing or assigning Experimental Machines IP to the company needs Board approval with conflicted trustees recused and, for anything amounting to substantially all of a program's IP, 2/3 member approval (Section 4). Open-licensed releases are available to the company on the same public terms as to anyone.

5. **No subsidy.** Experimental Machines must not exist primarily to do unpaid R&D for a founder-owned company, or to pay its costs. Purchases from the company above fair value are inurement under RMO 38-2019 IV.A(5).
6. **People are clear about their hat.** Founders working for both keep time, resources and confidential information separate; the Conflict-of-Interest Policy covers outside roles.

No subsidiary architecture is designed now. This is a protective principle only.

10. Hybrid IP framework

Experimental Machines owns what its programs create; researchers keep what they brought, what they do independently, and their credit for everything. Ownership is about control and stewardship, not secrecy: the default for program IP is open release. All of this is GOVERNANCE RECOMMENDATION, implemented later through an IP Policy and individual contributor, employment and fellowship agreements. Ownership only transfers through those signed agreements, not through this document or the By-Laws.

The five categories

Category	Who owns it	When it applies	Examples
A. Background IP	The researcher	Existed before the person's formal involvement, or was created outside any EM program	Code, repos, datasets, models, weights, libraries, methods, papers, tools

Category	Who owns it	When it applies	Examples
B. EM Program IP	Experimental Machines	Created (1) under an approved EM research program; (2) using substantial EM funding; (3) using substantial EM-owned or EM-provided compute or equipment; (4) under an EM employment or funded-research agreement; (5) under a grant EM administers; or (6) specifically commissioned for an EM project	Code, weights, datasets, benchmarks, evaluation harnesses, training artifacts, documentation, inventions, research infrastructure
C. Independent Researcher Work	The researcher	Outside any EM program, not funded or commissioned by EM, not materially dependent on EM resources, not derived from EM confidential assets	Personal side projects, work for another employer or university
D. Attribution and academic rights	Always the researcher	Applies to all categories, including B	Authorship, attribution, CV and portfolio use, describing one's contribution, academic credit, reasonable publication rights
E. Existing IP	Whoever owns it now	Assets that predate incorporation	Handled one by one through the Register below

Rules that go with the categories:

1. **No "everything you invent belongs to us" clause.** Category B is triggered only by the six listed connections.

2. **Open by default.** EM may own an asset and release it under Apache-2.0, MIT, BSD, Creative Commons, open-weight or open-data terms. Keeping program IP closed needs a stated reason (privacy, security, safety, a contract) under Section 6.
3. **Background IP used in a program** stays with the researcher. The researcher grants EM a non-exclusive, royalty-free license to use it in that program. Open-licensed background IP already gives EM that.
4. **Ownership is never authorship.** EM owning the weights does not make EM, or any officer, an author. Authorship follows contribution under the Research Integrity Policy.
5. **Leaving EM** does not remove a researcher's Category D rights.
6. **No payment to founders for IP transfers** without conflict review and a fair-value basis; a gift or an open license is the cleaner route (Section 9).

Existing Research Asset Register (GDR-025)

Most existing assets are already open-licensed, so EM can use them without any transfer. Transfer or assignment matters mainly for things EM must control: names, domains, accounts, app listings, and anything unlicensed. The rows below are pre-filled from what the public sites and repos showed in Phase 1; **every row needs founder confirmation**, and each decision is OPEN.

Asset	Current owner (as observed)	Location	License (as observed)	Transfer?	License to EM?	Keep external?	Terms of use by EM
Domain experimentalmachines.org and email	Registrant not verified	Registrar	n/a	OPEN (recommend transfer to EM after incorporation)			
Domain experimentalintelligence.org	Registrant not verified	Registrar	n/a	OPEN			
GitHub org ExperimentalMachines	Org admins (individuals)	github.com/ExperimentalMachines	n/a	OPEN (recommend EM-controlled admin accounts)			
Hugging Face org experimentalmachines	Org admins (individuals)	huggingface.co/experimentalmachines	Per model card	OPEN			
OpenGrad	Arjhine A. Ty (personal repo)	github.com/arjhinety/OpenGrad	Apache-2.0 + NOTICE	OPEN	Covered by Apache-2.0	OPEN	
OpenWeights app and repo	Repo in EM GitHub org; Play Store listing under Alpha Romer Coma personally	GitHub; Google Play	Apache-2.0	OPEN (recommend moving listing to an EM developer account)			
executorch-model-exporter	Contributors (EM org repo)	GitHub	Apache-2.0	OPEN	Covered by Apache-2.0		

Asset	Current owner (as observed)	Location	License (as observed)	Transfer?	License to EM?	Keep external?	Terms of use by EM
tool-choice-contrast	Contributor(s) (EM org repo)	GitHub	Apache-2.0 code; CC-BY-4.0 data	OPEN; contributor is not a founder	Covered		
Hardware benchmark repos (MI300X vs H200, Snapdragon vs M5, GGUF, etc.)	Alpha Romer Coma (personal repos)	GitHub	Mostly MIT; some no license file	OPEN	Covered where MIT; **unlicensed repos need a license first**		
Visual-Qwen code, weights, dataset	Personal accounts; began as FEU Tech thesis with five authors	GitHub; HF; Kaggle	No license on code; dataset CC-BY-NC-SA	OPEN; **co-authors' and possibly FEU's rights must be checked first**		Likely external	
OpenPapers	Arjhine A. Ty	GitHub	Apache-2.0	OPEN	Covered		
Public sites (source)	EM GitHub org	GitHub	No license	OPEN			

Fields to add when the Register becomes a working sheet: date decided, decision reference (Board minute), contributors, third-party components, and whether any payment was involved (should be none).

11. Sponsored research and grants

Experimental Machines may take money, compute and hardware from almost anyone, but never on terms that let the funder decide what the research finds. This is a FUTURE POLICY (Sponsored Research & Grants Policy) built on a legal line: income from "activities conducted for profit" is taxable even for an exempt organization (NIRC Sec. 30, last paragraph), and if such activities become "a substantial part" of operations, the operational test fails (RMO 38-2019 Sec. III; *CIR v. St. Luke's*, G.R. 195909, 2012).

What EM may accept

Research grants; donations; compute credits; hardware; academic collaborations; corporate research sponsorship; conference and event sponsorship; funded fellowships; and research contracts that fit the mission and meet the safeguards below.

The ten safeguards (GOVERNANCE RECOMMENDATION)

1. No agreement guarantees or implies a scientific conclusion.
2. The sponsor cannot dictate findings.
3. The sponsor cannot suppress unfavorable results indefinitely.
4. The sponsor may have a confidentiality review of a draft, limited to removing its own confidential information: recommend up to 30 days.

5. A reasonable delay for patent filing is allowed: recommend up to 90 days.
6. Funding is disclosed in every resulting paper, report, model card and benchmark page.
7. Any sponsor involvement in methodology is disclosed.
8. IP terms are written and agreed before work begins (Section 10).
9. Researchers keep scientific independence (Section 6).
10. Results are presumptively publishable; any exception needs Board approval with reasons.

Hardware benchmarking gets two extra rules, because EM already benchmarks vendors' chips: (a) a vendor that funds or supplies hardware for a comparison is disclosed on the result; (b) the vendor may check facts about its own product's configuration but has no say over the comparison's design, competitors chosen, or conclusions.

Research sponsorship vs commercial consulting

Research sponsorship (fits the mission)	Commercial consulting (drift risk)
The question is a research question; answer unknown in advance	The question is the client's business problem
Results are published	Results are delivered privately to the client
EM or researchers control methodology	Client controls scope and methodology
Output is knowledge, code, data or models released openly	Output is a service, deployment, integration or advice
Funding covers research cost	Pricing is set to earn a margin
Many benefit	One client benefits

Where the Sec. 30(E) risk begins

- **Low:** grants, donations, and sponsorships meeting the ten safeguards. Genuine gifts are not income at all (NIRC Sec. 32(B)(3)).
- **Taxable but tolerable:** occasional fee-for-service work, such as a paid talk or a one-off evaluation. The income is taxed; the exemption for other income survives (*St. Luke's*).
- **Exemption at risk:** fee-for-service becomes regular or "substantial": ongoing consulting, managed inference endpoints, paid private benchmarks, integration work. At that point the operational test is in doubt.

Recommended bright line (GDR-027, PROVISIONAL): EM does not offer consulting, managed services, paid deployments or private paid benchmarking as an activity. Any fee-for-service engagement needs Board approval, a written mission justification, and is tracked so the Board can see the share of total revenue. If commercial work is ever wanted, it belongs in a separate company under Section 9.

12. Financial principles and research integrity

Money: everything belongs to the corporation and is spent on the mission; nobody profits and nobody sets their own pay. Integrity: write down what you already do, and keep it out of the By-Laws.

Financial principles (GDR-028)

#	Principle	Label and authority
1	No dividends	LEGAL REQUIREMENT, RCC Sec. 86
2	No distributions to founders, members, trustees or officers	LEGAL REQUIREMENT, RCC Sec. 86; NIRC Sec. 30(E)
3	No surplus sharing; incidental surplus goes back into the purpose	LEGAL REQUIREMENT, RCC Sec. 86
4	All money and property belong to the corporation, not to any person	LEGAL REQUIREMENT (separate juridical personality)
5	Every expenditure must further the mission	NIRC Sec. 30(E) operational test; RMO 38-2019 Sec. III
6	Reasonable reserves are allowed (recommend a target of 3–6 months of fixed costs once there are any)	GOVERNANCE RECOMMENDATION
7	Researchers and employees may be paid for real work, at reasonable, benchmarked rates, subject to law	RMO 38-2019 IV.A(2); founders subject to Section 9
8	Trustee service is unpaid	CONSERVATIVE TAX POSITION (GDR-010)

#	Principle	Label and authority
9	Nobody sets or votes on their own compensation	LEGAL REQUIREMENT for trustees (RCC Sec. 29); GOVERNANCE RECOMMENDATION for everyone
10	Documented, actual out-of-pocket expenses may be reimbursed, including for trustees, with receipts and approval by someone other than the claimant	GOVERNANCE RECOMMENDATION. Keep it to true reimbursement, not a flat allowance, to stay clear of the per diem issue
11	Related-party transactions are disclosed and approved by people without an interest	RCC Secs. 31, 52
12	Restricted grants are tracked separately and spent only on their stated purpose	GOVERNANCE RECOMMENDATION; usually a grant condition
13	Anything bought with EM funds belongs to EM, including hardware kept at a researcher's home	GOVERNANCE RECOMMENDATION
14	Two people involved in every payment above a policy threshold	GOVERNANCE RECOMMENDATION (GDR-030)
15	Keep administrative costs visible; donee status later requires them to stay at or below 30% of total expenses	NIRC Sec. 34(H)(2)(c); RR 13-98 Sec. 1(c)(ii); relevant only if you seek PCNC accreditation

Research integrity (GDR-029)

Based on how the group already works (pre-registered gates, errata, incident logs, "results and retractions"). Each item is FUTURE POLICY for the Research Integrity Policy, not a legal requirement.

Principle	What it means in practice
Provenance	Every dataset, checkpoint and number traces to a source, license and commit
Reproducibility	Code, configs, seeds and environment published with results, or a stated reason why not

Principle	What it means in practice
Pre-registration where useful	Hypotheses and pass/fail gates frozen before the run for confirmatory work
Frozen artifacts	Released results tagged and immutable; changes go in new versions
Corrections, errata, retractions	Public, dated, linked from the original; never silent edits
Negative results	Published by default
Observation vs interpretation	Reports separate what was measured from what it is taken to mean
Failed experiments	Reported honestly, including in the project log
Funding and conflicts	Disclosed on every output (Section 11)
No benchmark manipulation	No tuning, cherry-picking or selective reporting to favor a sponsor, partner or EM itself
Records	Research records kept for a set period (recommend at least 5 years)
Misconduct	Fabrication, falsification and plagiarism handled by a written process with an outside reviewer where a founder is involved
Consistency of public claims	Figures on sites and cards match the underlying report; Phase 1 found one mismatch to fix (Visual-Qwen accuracy)

What goes in the By-Laws: nothing beyond the Section 6 research-independence clause, and a one-line reference that the Board adopts a Research Integrity Policy.

13. Future Articles of Incorporation: outline

The Articles should be short: what the law requires, the four BIR clauses, and the mission. Everything else goes in the By-Laws or policies. Required contents follow RCC Sec. 13 (verify each item against the current SEC form); the BIR clauses come from RMO 38-2019 VI.A.2.

Article	Topic	Proposed substance (plain English)	Feeds from	Required?
First	Corporate name	"Experimental Machines" plus any suffix the SEC requires for a non-stock corporation (e.g. "Inc."); subject to SEC name verification	GDR-008	LEGAL REQUIREMENT
Second	Primary purpose	Scientific research in machine learning and related fields, for the public interest, with results made openly available (Section 1 sketch)	GDR-009, GDR-014	LEGAL REQUIREMENT
Second	Secondary purposes	Dissemination; open-source release; researcher training; collaboration; receiving grants and property; each "in furtherance of" the primary purpose	GDR-009	Optional but recommended
Third	Principal office	A Philippine address (city/municipality and province at minimum)	GDR-034	LEGAL REQUIREMENT

Article	Topic	Proposed substance (plain English)	Feeds from	Required?
Fourth	Term	Perpetual, unless you choose otherwise	GDR-038	Optional (perpetual by default, RCC Sec. 11, verify)
Fifth	Incorporators	Names, nationalities, residence addresses of Arjhine, Alpha, John	GDR-001	LEGAL REQUIREMENT
Sixth	Number of trustees	Three	GDR-004, GDR-018	LEGAL REQUIREMENT
Seventh	Initial trustees	Names, nationalities, residences; to serve until successors are elected	GDR-002	LEGAL REQUIREMENT
Eighth	Capital and contributors	Amount of initial capital; names and amounts of each contributor	FOUNDER DECISION: how much each founder contributes	LEGAL REQUIREMENT for non-stock (RCC Sec. 13, verify). Avoid the word "foundation" in the name, which triggers a ₱1,000,000 minimum
Ninth	Non-stock, non-profit character	The corporation is non-stock and non-profit; no part of its income is distributable as dividends	GDR-007	LEGAL REQUIREMENT (RCC Sec. 86) + BIR clause (VI.A.2(i))

Article	Topic	Proposed substance (plain English)	Feeds from	Required?
Tenth	No private inurement	No part of net income or assets shall inure to the benefit of any member, trustee, officer, organizer or private individual	GDR-028	CONSERVATIVE TAX POSITION (VI.A.2(ii); NIRC Sec. 30(E))
Eleventh	Trustee compensation	Trustees receive no compensation or remuneration	GDR-010	CONSERVATIVE TAX POSITION (VI.A.2(iii)). Do **not** add a clause allowing "reasonable compensation" to trustees or officers
Twelfth	Dissolution	On dissolution, after liabilities, assets go to one or more non-profit entities with similar purposes, or to the government for a public purpose; never to members, trustees, officers or organizers	GDR-011	CONSERVATIVE TAX POSITION (VI.A.2(iv); IV.A(6)); consistent with RCC Secs. 93–94
Thirteenth	Members	One class of voting members; rights and admission governed by the By-Laws	GDR-015, GDR-033	Recommended; RCC Sec. 88 lets the Articles or By-Laws do this

Article	Topic	Proposed substance (plain English)	Feeds from	Required?
Fourteenth	Open research statement	Research is conducted for the public interest and its results are published, subject to law, privacy, security and safety	GDR-014	GOVERNANCE RECOMMENDATION; could instead sit inside the purpose clause
Last	Treasurer and certifications	SEC-required undertakings and treasurer's certification of contributions		LEGAL REQUIREMENT per SEC forms (verify current eSPARC requirements)

Deliberately left out of the Articles: research areas list, membership criteria, removal procedure, research independence detail, IP, compensation bands, sponsored-research rules. Each would need a 2/3 member vote and SEC approval to change.

14. Future By-Laws: outline

Sixteen short articles. The By-Laws hold the rules of governance; policies hold the rules of practice. Sections marked "entrenched" need 2/3 of all members to amend (Section 4).

#	Topic	Recommended rule	Why	By-Laws or policy?
I	Name, office, seal	Refer to Articles; no seal required unless you want one	Housekeeping	By-Laws
II	Membership: nature	One class; voting; personal and non-transferable; researchers and contributors are not members unless admitted	RCC Secs. 88–89; GDR-015	By-Laws, **entrenched**

#	Topic	Recommended rule	Why	By-Laws or policy?
III	Admission	Written proposal → Board nomination → 2/3 of all members; criteria listed	GDR-015	By-Laws, **entrenched** (criteria detail can sit in a policy)
IV	Ending membership	Resignation, death, incapacity, abandonment, removal for cause with due process and independent reviewer	RCC Sec. 90; GDR-016	By-Laws, **entrenched**
V	Members' meetings	Annual meeting (fixed month); special meetings on request of the President, Board, or any member; written notice at least one week before (RCC Sec. 49, verify for special meetings); remote participation and voting in absentia allowed (RCC Sec. 23)	Workable for a dispersed group	By-Laws
VI	Members' voting and reserved powers	Quorum a majority of members (RCC Sec. 51); thresholds from Section 4; proxies allowed in writing unless you prefer not (RCC Sec. 88)	GDR-011	By-Laws, **entrenched**
VII	Mission protection	Two-meeting, 60-day rule for purpose changes	GDR-012	By-Laws, **entrenched**

#	Topic	Recommended rule	Why	By-Laws or policy?
VIII	Board of Trustees	Number per Articles; eligibility; unpaid; two-year staggered terms; resignation; removal by members; vacancies	RCC Secs. 22, 27–28, 91; GDR-010, 017	By-Laws
IX	Board meetings	Quarterly; special and emergency meetings; remote participation; quorum and voting per RCC Sec. 52; no proxies; minutes	GDR-019	By-Laws
X	Officers	President (a trustee), Treasurer, Corporate Secretary; elected by the Board; no other offices unless the By-Laws are amended; no research roles here	RCC Sec. 24; *Matling*	By-Laws
X.1	President	Presides at meetings; signs documents authorized by the Board; legal representative; **no authority over research conclusions**	GDR-006	By-Laws
X.2	Treasurer	Custody of funds; books of account; financial reports to the Board; tax and regulatory filings with the Secretary	RCC Sec. 24 residency	By-Laws

#	Topic	Recommended rule	Why	By-Laws or policy?
X.3	Corporate Secretary	Minutes; member register (RCC Sec. 92); notices; SEC filings; custody of corporate records	RCC Sec. 24 citizenship and residency	By-Laws
XI	Conflicts of interest	Disclose; recuse from discussion and vote; Sec. 31 conditions for contracts with trustees and officers; Board adopts a fuller policy covering members, relatives and outside companies	RCC Secs. 31, 52; GDR-020	By-Laws (short, **entrenched**) + Conflict-of-Interest Policy
XII	Research independence	Board powers exclude altering research conclusions; intervention only on grounds in the Research Independence Charter	GDR-014	By-Laws (short, **entrenched**) + Charter
XIII	Committees	Board may form advisory committees (e.g. Research Council, audit) without delegating reserved member powers	GDR-032	By-Laws (one clause)

#	Topic	Recommended rule	Why	By-Laws or policy?
XIV	Records, fiscal year, finances	Calendar fiscal year; books kept at the principal office; member inspection rights as the Code provides; Board adopts Financial Controls Policy	GDR-028, 035	By-Laws (short) + policy
XV	Related entities	No dealings with founder-linked entities except through conflict review; no transfer of assets for less than fair value	GDR-023	By-Laws (one clause, **entrenched**) + Related-Party Policy
XVI	Amendments	Majority of Board + majority of members; 2/3 of all members for entrenched articles; no delegation to the Board	RCC Sec. 47	By-Laws

Deliberately left to policies: membership criteria detail, compensation bands, IP rules, sponsored-research terms, integrity procedures, benchmark methodology, expense rules, spending thresholds, signatory limits.

15. Where each rule lives

Put a rule in the hardest-to-change document only if changing it should be hard. Articles need 2/3 of members and SEC approval; By-Laws need member votes; policies need a Board vote; agreements bind individuals.

Rule	Articles	By-Laws	Board Policy	Research Policy	Employment / IP Agreement
Mission and primary purpose	✓				
Research areas list				✓ (Mission Statement)	
Non-stock, non-profit, no dividends	✓				
No private inurement	✓		✓ (Financial Controls)		
Trustees unpaid	✓	✓			
Dissolution and asset distribution	✓				
Membership nature, admission, removal		✓	criteria detail		
Voting rights and thresholds		✓			
Mission-protection procedure		✓			
Trustee number	✓				
Trustee terms, vacancies, meetings, quorum		✓			
Officers and duties		✓			
Conflict rules		✓ (short)	✓ (Conflict-of-Interest)		✓ (disclosure clause)
Related-party and future company dealings		✓ (one clause)	✓ (Related-Party)		
Research independence	purpose sentence	✓ (short)		✓ (Charter)	
Publication rights				✓ (Charter)	✓
Authorship				✓ (Integrity)	✓
IP ownership categories			✓ (IP Policy)		✓ (binding)
Existing asset decisions			✓ (Register, Board minutes)		✓ (licence or assignment)

Rule	Articles	By-Laws	Board Policy	Research Policy	Employment / IP Agreement
Salary bands and benchmarking			✓ (Compensation)		✓ (individual salary)
Nobody sets own pay		✓ (for trustees)	✓		
Founder paid-work conditions			✓ (Compensation)		✓
Benchmark methodology				✓ (project level)	
Sponsored research safeguards			✓ (Sponsored Research)	✓ (disclosure)	✓ (sponsor agreement)
Consulting bright line			✓		
Expense reimbursement, signatories, thresholds			✓ (Financial Controls)		
Research integrity, errata, retractions				✓ (Integrity)	
Non-membership of researchers		✓			✓ (one sentence)

16. Adversarial self-review

The draft protects well against asset extraction, sponsor capture, IP overreach and consulting drift. It protects only partly against founder entrenchment and two-against-one conflicts, because three people who are simultaneously all members, all trustees and all officers cannot fully check each other. Five items are flagged.

#	Failure mode	Protected?	How, or what is missing
1	Founders permanently control everything	**Partly. FLAG**	Staggered terms, an admission path and a Board-expansion trigger exist, but nothing forces the founders to admit anyone. Option (FOUNDER DECISION): commit in the By-Laws or a founding resolution to admit at least two non-founder members, or expand the Board, within a set period (e.g. 3 years)
2	Founders extract nonprofit assets	Yes	Articles bar dividends and inurement; dissolution clause; trustees unpaid; related-party review; no paid IP transfers; expense reimbursement approved by someone other than the claimant; two-person payment control
3	Board disconnected from researchers	Yes, for now	All trustees are researchers today. New seats go to unpaid members, ideally researchers; Research Council once non-member researchers exist
4	Researchers accidentally become voting members	Yes	Membership only by formal admission and entry on the register; agreements state that participation is not membership

#	Failure mode	Protected?	How, or what is missing
5	One founder deadlocks the corporation	Yes	Majority of 2 of 3 decides; no unanimity requirements; quorum works with one absent. With one founder recused, the other two must agree, and failure leaves the status quo
6	Two founders arbitrarily expel the third	**Partly. FLAG**	Member removal needs an enumerated cause, a hearing and an independent reviewer's finding. **But** RCC Sec. 27 lets 2/3 of members remove a trustee "with or without cause," so two founders could remove the third from the Board (not from membership) with no cause. Whether the By-Laws can require cause for trustee removal is legally uncertain; counsel should advise. Mitigation now: written reasons and a hearing
7	Sponsor suppresses bad results	Yes	Safeguards 3, 4 and 10; explicit prohibition in Section 6; confidentiality review limited to the sponsor's own information

#	Failure mode	Protected?	How, or what is missing
8	Sponsor buys favorable benchmarks	Mostly. **FLAG**	Disclosure and no sponsor say over design, competitors or conclusions. Residual channel: a sponsor can fund only the comparisons it expects to win. Fix in policy: publish the list of sponsor-funded comparisons, and do not let sponsors choose which configurations are tested
9	A future for-profit captures nonprofit assets	Mostly. **FLAG**	Separate-entity principle; related-party review; 2/3 member approval for major IP transfers. Weak point: all three members and trustees would likely be owners of that company, so no one disinterested can approve. Recommended rule: **no license, assignment or service deal with a founder-linked company until the Board has at least two trustees with no interest in it**
10	EM owns every idea a researcher has	Yes	Category B triggered only by six defined connections; background and independent work stay with the researcher

#	Failure mode	Protected?	How, or what is missing
11	A researcher privately owns org-funded IP	Only once agreements exist. **FLAG**	Ownership transfers only through signed agreements. Today, contributors (including non-founders) have none. Fix: contributor and fellowship agreements before the first funded program; Register decisions for existing assets
12	Corporate officers overrule scientific evidence	Yes	Board powers exclude conclusions; officer duties exclude research authority; interventions only on listed grounds, in writing
13	Research policies overstuffed into By-Laws	Yes	By-Laws carry two short hooks; detail goes to the Charter and Integrity Policy
14	Nonprofit drifts into consulting	Yes	Bright line against consulting and managed services; Board approval and revenue-share tracking for any fee-for-service
15	Governance too complex for three people	Partly	The full design has many policies. Fix: phase them. At incorporation, only Articles, By-Laws and one-page Conflict-of-Interest and Research Independence documents. Everything else within the first 12 months, as needs arise

17. Founder Review Required

Sixteen choices are yours. Five block Articles drafting (marked Yes); the rest can be settled while the By-Laws and policies are drafted.

#	Question	My recommendation	Alternatives	Practical consequence	Legal consequence	Blocks Articles?
1	Do you accept the purpose-clause approach (RMO "scientific" wording + machine learning + open results)?	Yes	Broader tech purpose; narrower ML-only wording	Sets what the org can do without amending	Organizational test for the CTE	**Yes**
2	What is the principal office address?	A Philippine address you can keep for years; avoid a home address if another option exists	Founder's home; co-working or university address	Appears in public SEC records	Required in Articles	**Yes**
3	How much initial capital, and who contributes what?	A modest, equal contribution from each founder	Unequal amounts; one contributor	Contributors are listed publicly; contribution gives no ownership	Required in Articles for non-stock (verify)	**Yes**
4	Confirm John is a Philippine resident and Arjhine a Philippine citizen and resident	Confirm	Swap offices if not	None if confirmed	RCC Sec. 24 requirements	**Yes**
5	Should trustees be able to claim documented out-of-pocket expenses?	Yes, true reimbursement only, approved by another trustee	No reimbursements at all in year one	Founders bear costs personally if no	Shapes the wording of the trustee no-compensation clause; flat per diems carry BIR risk	**Yes** (clause wording)

#	Question	My recommendation	Alternatives	Practical consequence	Legal consequence	Blocks Articles?
6	What is "Experimental Intelligence" going forward?	A research program or brand of Experimental Machines	Retire it; separate entity later	Affects sites and repos	A program needs no filing	No
7	Mission change: 2/3 at two meetings, or unanimity while fewer than 5 members?	2/3 at two meetings	Unanimity during founding period	Unanimity gives one founder a veto	Both are above the 2/3 legal floor	No (By-Laws)
8	Commit to broadening membership or the Board within a set period?	Yes: at least two non-founder members, or a five-seat Board, within 3 years	No commitment; longer period	Addresses entrenchment (Section 16, item 1)	None	No (By-Laws or founding resolution)
9	Trustee terms: two-year staggered, or three-year staggered?	Two-year	Three-year (one seat per year)	Two-year keeps accountability higher	Both within RCC Sec. 91	No (By-Laws)
10	Officers elected by the Board, or directly by members?	By the Board	Direct member election (RCC Sec. 91)	Same people today; matters when the groups diverge	Either lawful	No (By-Laws)
11	Allow member proxies?	Yes, in writing, for a single meeting	No proxies	Helps with travel	Allowed unless the By-Laws say otherwise (RCC Sec. 88)	No
12	Who is the standing independent reviewer?	Agree on one or two trusted outsiders now	Decide only when needed	Deciding in a dispute is much harder	None	No

#	Question	My recommendation	Alternatives	Practical consequence	Legal consequence	Blocks Articles?
13	Payment threshold for two-person approval, and bank signatories	Two signatures above a set amount; President and Treasurer as signatories	Single signatory	Speed vs control	AML expectations for non-profits (SEC MC 15-2018, verify)	No (bank opening)
14	Adopt the consulting bright line?	Yes	Allow limited consulting under Board approval	Forgoes easy revenue	Protects the operational test	No
15	Adopt "no dealings with a founder-linked company until two disinterested trustees exist"?	Yes	Allow member ratification under RCC Sec. 31	May delay a spinout collaboration	Reduces related-party and inurement risk	No
16	Decide each existing asset in the Register	Case by case; start with domains, accounts and the Play Store listing	Leave all external for now	Clarifies who controls what	Avoids paid or disguised transfers	No

18. Decision summary

Eight decided, twenty-seven for review (including three open), three deferred. Nothing I recommended has been moved into DECIDED.

DECIDED

- GDR-001 Founding Members: Arjhine A. Ty, Alpha Romer Coma, John Andrew Balbarrossa
- GDR-002 Initial Trustees: the same three
- GDR-003 Initial Officers: President Alpha, Treasurer John, Corporate Secretary Arjhine
- GDR-004 Initial Board Size: three
- GDR-005 Founders Initially Unpaid: about the first year

- GDR-006 Researcher-First Organizational Principle
- GDR-007 Non-stock, non-profit scientific corporation targeting NIRC Sec. 30(E) (from your legal assumption set)
- GDR-010 No trustee compensation while serving (from your legal assumption set)

PROVISIONAL — REVIEW REQUIRED

- GDR-009 Primary purpose clause
- GDR-011 Member reserved powers and thresholds
- GDR-012 Mission-protection rule
- GDR-013 Board powers
- GDR-014 Research independence
- GDR-015 Member admission
- GDR-016 Member removal and due process
- GDR-017 Trustee terms
- GDR-018 Board expansion path
- GDR-019 Meetings, quorum, voting
- GDR-020 Conflicts of interest
- GDR-021 Compensation framework
- GDR-023 Separate Future Company Principle
- GDR-024 Hybrid IP framework
- GDR-025 Existing Research Asset Register (process; each asset open)
- GDR-026 Sponsored research and grants
- GDR-027 Consulting bright line
- GDR-028 Financial principles
- GDR-029 Research integrity
- GDR-031 Deadlock handling
- GDR-032 Research Council
- GDR-035 Fiscal year
- GDR-037 Public legal-status statements
- GDR-038 Corporate term
- **OPEN:** GDR-008 Status of "Experimental Intelligence"
- **OPEN:** GDR-030 Bank signatories and spending approvals

- **OPEN:** GDR-034 Principal office address

DEFERRED

- GDR-022 Founder paid work: only after BIR ruling or tax advice, after leaving the Board, on role-based terms
- GDR-033 Membership classes
- GDR-036 CTE and PCNC timing

Next step when you are ready: meet, work through Founder Review Required items 1–5 (they block the Articles), and mark each PROVISIONAL item accept, change or reject. This draft stops here; no Articles, By-Laws or policies have been drafted.